



LUFWANYAMA TOWN COUNCIL

FINANCIAL STATEMENTS AS AT 31ST DECEMBER 2018

SIGNED ~~CONF~~
UNQUALIFIED
OPINION 2
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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December, 2018 which disclose the sources, utilization and balances of cash for Lufwanyama Town Council during the period under review.

Background and Location of the Council

Lufwanyama District is on the Copperbelt Province of Zambia sharing borders with following Districts namely, Kalulushi, Kitwe, Masaiti, Mpongwe, Luanshya, Kasempa, Chingola and Solwezi. The District provides a direct connection to towns in the North-Western Province including Kasempa, Kabompo, Zambezi and Chavuma through the Kalengwa-M18 Road. The major source of income of the local people is mainly from small scale farming, fishing and mining.

Lufwanyama is found in the Western part of the Copperbelt Province. It lies between latitudes; 13°44' and 12°20' south of the Equator. Longitudinally, it lies between 26°10' East.

The administrative Centre lies in the Protected Forest Area of the Lamba Headwaters Block-A, along the Kalengwa-M18 Road, 580 KM from Lusaka, the capital city of Zambia, 137 km from Ndola, the Provincial Headquarter, 65 Kilometres (Km) west of Kitwe, 55 km west of Kalulushi and two (2) Kilometres (Km) east of the Lufwanyama River bridge.

Lufwanyama is the largest Districts on the Copperbelt Province, covering an area of 7880 square km of the provincial total area of 31,328 square km. It accounts for 31.4 percent of the provincial landmass.

The District has three (3) main rivers namely the Luswishi, Katembula and Lufwanyama Rivers, which are tributaries of the Kafue River, which forms the boundary between Lufwanyama and the Eastern and South-Eastern district in the province. These rivers receive water from the numerous perennial streams which form an extensive network of rich water resources the District is endowed with. These include the Kabundia, Sokontwe, Luella, Kansoka, Lumwana, Mubende, Mitwe, Chapula, Kasho, Kafubu and Funda.

The address of the registered office of Lufwanyama Town Council (LTC) is as follows:

The Civic Centre

Kalengwa Road

P. O Box 260500

Lufwanyama

REPORT OF THE COUNCIL

Composition of the Council

Lufwanyama Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act, 1991 Cap 281 of the Laws of Zambia. As a Local Authority, the Town Council administers the Lufwanyama District.

The Council is composed of an elected Council Chairperson, sixteen (16) elected Councilors from sixteen (16) Wards, and three (3) Chiefs as provided for under Article 153 (2)(c) of the Constitution of Zambia (Amendment) Act No.2 of 2016. The current Council was elected to office in 2016 to serve a five-year term up to 2021. The Vice Chairperson was elected from among the Councilors in 2018 for the period of two and half years.

The Councilors who held office during the year were:

S/N	NAME	GENDER	POSITION	WARD
1	Moses c. Chiyuka	Male	Council Chairperson	Not applicable
2	Zolile Zimba	Male	Vice Council Chairperson	Mibenge
3	Robert Katongo	Male	Councillor	Chantete
4	Rodgers Simweemba	Male	Councillor	Lufwanyama
5	Fredrick Mubanga	Male	Councillor	Luswishi
6	Malupenga Chiyan'a	Male	Councillor	Mukumbo
7	Kangwa E Mwila	Male	Councillor	Chibanga
8	Marvis Chisembele	Female	Councillor	Milopa
9	Claudias Dube	Male	Councillor	Kabundia
10	Annie Kapandula	Female	Councillor	Kansoka
11	Ignitius Musonda	Male	Councillor	Mushingashi
12	Lwipa Lubele	Male	Councillor	Kafubu
13	Benson Sondashi	Male	Councillor	Mwelushi
14	Davies Sumaili	Male	Councillor	Sokontwe
15	Phanuel Musumali	Male	Councillor	Kasanta
16	Diana Katupisha	Female	Councillor	Bulaya
17	Chola Kasanda	Male	Councillor	Mpindi
18	Chieftainess Shimukunami	Female	Member	Chieftdom
19	Chief Fungulwe	Male	Member	Chieftdom
20	Chief Lumpuma	Male	Member	Chieftdom

The District also has one (1) elected Member of Parliament for Lufwanyama Constituency. The Members of Parliament that held office during the year were:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon.Leonard Fungulwe	Male	Lufwanyama

REPORT OF THE COUNCIL

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Dr Miniver Mutesa was the District Commissioner for Lufwanyama District.

The Council Secretariat

The Secretariat of Lufwanyama Town Council is headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Council Secretary is assisted by four (4) chief officers responsible for Finance, Planning, Works, Administration and two (2) units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) as listed in the annex part C of the Constitution of Zambia (Amendments) Act No.2 of 2016 and Second Schedule of Cap 281 of the Laws of Zambia which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2018 Kwacha
Cash Receipts	15,318,904
Payments	13,303,441
Increase/(decrease) in Cash and Cash Equivalents	<u>2,015,463</u>

Key Policies Adopted During the Year

- I. Internal Audit Charter.
- II. Lufwanyama Town Council Strategic Plan 2018 – 2022.
- III. Lufwanyama Town Council Land Application Policy.

Related Party Transactions

There were no related party transactions during the financial year.

Property, Plant and Equipment

The Council invested in Property, Plant and Equipment amounting to **K1,580,122**

No Property, Plant and Equipment were disposed of during the year.

Intangible Assets

There were no purchases of intangible assets during the year.

REPORT OF THE COUNCIL

Employees

The average number of employees during the year was 89. The total amount spent on employees' remuneration and welfare during the year was K5,695,428.

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Corporate Social Responsibility

The Council made no donations during the year amounting to towards the support of various socially responsible causes.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016, the Council is audited by the Auditor-General.

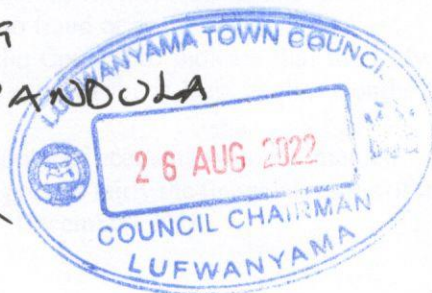
By order of the Council.

Signature: A. Kapandula

Name: ANNIE K. KAPANDULA

Position: Council Chairperson

Date: 26/08/2022



STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Lufwanyama Town Council is responsible for preparing the financial statements for the year ended 31st December, 2018 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019, and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor General has audited the financial statements and his report is shown on pages 7 to 9.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of Cap 281 of the Laws of Zambia, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- For the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- For designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Lufwanyama Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Town Council for the financial year ended 31st December, 2018.

Signed on behalf of the Council on by;

Name: ANNIE K. KAPANDOLA Name: RABECCA C. BANDA

Signature: A. Kapandola Signature: Banda

Position: Council Chairperson

Position: Council Secretary

Name: EVANS MUSHIBA

Signature: [Signature]

Position: Council Treasurer





REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL

INDEPENDENT AUDITOR'S REPORT

STAND No. 7951
HAILE SELASSIE AVENUE
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA

E-mail: auditorg@ago.gov.zm
Website: www.ago.gov.zm
Telephone: +260252611/252771

To the Minister – Ministry of Local Government and Rural Development

Report on the Audit of the Financial Statements of Lufwanyama Town Council

Opinion

I have audited the financial statements of the Lufwanyama Town Council for the financial year ended 31st December, 2018 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for the Local Government Equalization Fund and the Statement of Cash Receipts and Payments for the Constituency Development Fund (CDF) and a summary of significant accounting policies and other explanatory information on pages 10 to 31.

In my opinion, the accompanying financial statements of Lufwanyama Town Council present fairly, in all material respects, its cash receipts and payments and balances for the year ended 31st December, 2018 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of Lufwanyama Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Emphasis of Matter

I draw attention to Note 1.1 to the financial statements which explain non-inclusion of prior period comparatives in these financial statements due to the first time adoption of Cash Basis as allowed by the provisions of Cash Basis International Public Sector Accounting Standard (IPSAS).

My opinion is not qualified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act 1991, the Public Finance Management Act 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and legislation, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Entity's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the entity or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible of overseeing the entity's financial reporting process.

Auditor's Responsibility for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Council's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Council to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

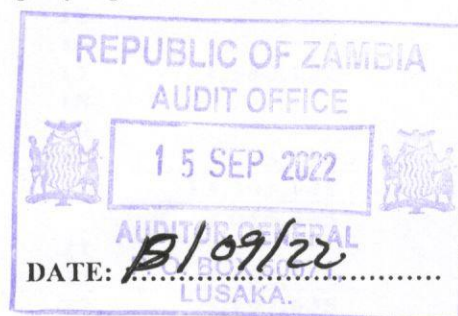
I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

Dick Chellah

Dr. Dick Chellah Sichembe

AUDITOR GENERAL

OFFICE OF THE AUDITOR GENERAL



**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR
ENDED 31ST DECEMBER, 2018**

	Note	2018 Kwacha
RECEIPTS		
Local Taxes	2	1,296,146
Fees and Charges	3	3,696,908
Licences	4	305,242
Levies	5	295,217
Permits	6	-
Local Government Equalisation Fund	7	7,794,823
Constituency Development Fund	8	1,600,000
Other Grants	9	308,752
Borrowings	10	-
Commercial Venture	11	-
Other Receipts	12	21,816
		-
TOTAL RECEIPTS		15,318,904
PAYMENTS		
Personal Emoluments	13	5,695,428
Use of goods and services	14	5,752,395
Financial Charges	15	-
Social Benefits	16	-
Non-Financial Assets	17	1,580,122
Financial Assets	18	-
Loan Repayments	19	-
Other Payments	20	275,496
TOTAL PAYMENTS		13,303,441
Increase/(decrease) in Cash		2,015,463
Foreign Exchange Losses	21	-
Bank at beginning of the year	22	1,182,172
Cash at the end of the year	22	3,197,635

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Signature: A. Kapachira

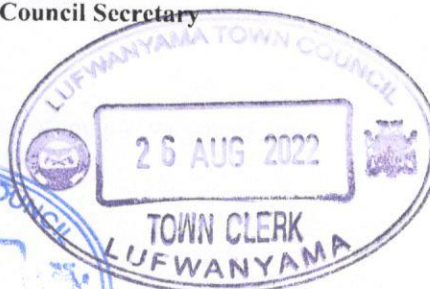
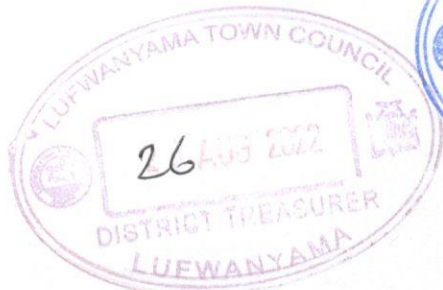
Position: Council Chairperson

Signature: Banda

Position: Council Secretary

Signature: [Signature]

Position: Council Treasurer



**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS
FOR THE YEAR ENDED 31ST DECEMBER 2018**

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Perfor mance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	2,214,702	-	2,214,702	1,296,146	59%	918,556	41
Fees and Charges	14,237,338	-	14,237,338	3,696,908	26%	10,540,430	74
Licences	44,710	-	44,710	305,242	683%	(260,532)	-583
Levies	176,529	-	176,529	295,217	167%	(118,688)	-67
Permits	250	-	250	-		250	100
Local Government							
Equalisation Fund	8,486,799	-	8,486,799	7,794,823	92%	691,976	8
Constituency							
Development Fund	1,400,000	-	1,400,000	1,600,000	114%	(200,000)	-14
Other Grants	-	-	-	308,752		(308,752)	
Borrowings	-	-	-	-		-	
Commercial	-	-	-	-		-	
Venture	-	-	-	-		-	
Other Receipts	-	-	-	21,816		(21,816)	
TOTAL RECEIPTS	26,560,328	-	26,560,328	15,318,904	58%	11,241,424	42%
PAYMENTS							
Personal Emoluments	6,876,340	-	6,876,340	5,695,428	83%	1,180,912	17
Use of Goods and							
Services	13,442,895	-	13,442,895	5,752,395	43%	7,692,560	57
Financial Charges	-	-	-	-		-	
Social benefits	-	-	-	-		-	
Non-financial assets							
acquisition	5,469,993	-	5,469,993	1,580,122	29%	3,889,871	71
Financial Assets	-	-	-	-		-	
Loan Repayments	-	-	-	-		-	
Other payments	771,100	-	771,100	275,496	36%	495,604	64
TOTAL PAYMENTS	26,560,328	-	26,560,328	13,303,441	50%	13,258,947	50%
Increase/(Decrease in							
Cash	-	-	-	2,015,463			

The composition of budget adjustments and explanations of major variances are provided in note 23.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL
GOVERNMENT EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST
ECEMBER 2018**

		2018 Kwacha
RECEIPTS		
Funding	7(a)(i)	7,794,823
TOTAL RECEIPTS		<u>7,794,823</u>
PAYMENTS		
Operational Expenditure Payments:	7 (b)	
Salaries and Wages	7(b)(i)	5,522,597
Terminal Benefits		-
Utility bills		-
Service Provision		-
Goods and Services	7(b)(ii)	638,695
Administrative Costs		-
Other Costs	7(b)(iii)	211,367
Sub-Total		<u>6,372,659</u>
Capital Expenditure Payments:	7(c)	
Infrastructre Development	7(c)(i)	1,152,297
Rehabilitation Works	7(c)(ii)	85,877
Asset Acquisition	7(c)(iii)	53,800
Other Costs	7(c)(iv)	-
Sub-Total		<u>1,291,974</u>
TOTAL PAYMENTS		<u>7,664,633</u>
Increase/(decrease) in cash		130,190
Cash at the beginning of year	22	153,704
Cash at the ende of the year	22	<u>283,894</u>

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE
CONSTITUENCY DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST
DECEMBER 2018**

		2018 Kwacha
RECEIPTS		
Funding	8(a)	1,600,000
Other Sources	8(b)	<u>0</u>
TOTAL RECEIPTS		<u>1,600,000</u>
PAYMENTS		
Infrastructure Development	8(c)	608,973
Rehabilitation Works	8(d)	0
Asset Acquisition	8(e)	0
Administrative Costs	8(f)	<u>51,064</u>
TOTAL PAYMENTS		<u>660,037</u>
Increase/(Decrease) in Cash		939,963
Foreign Exchange Losses	21	0
Cash at beginning of the year	22 (a & b)	<u>733,647</u>
Cash at the end of the year	22 (a & b)	<u>1,673,610</u>

Note 8 explains the composition and other details relating to the various elements included in this Statement

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Part 1 of Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Comparatives

In line with the Local Authorities Accounting Policies (LAAPs) and the Treasury and Financial Management Circular No 10. of 2019 issued after but applicable to finalisation of these financial statements, the starting point for preparation of financial statements using Cash Basis IPSAS *Financial Reporting under the Cash Basis of Accounting* is 2018. The IPSAS allows that in the year of first application, comparative financial statements for the previous year may not be included. In this regard, these financial statements do not include such.

1.2 Reporting Entity

The Financial Statements are prepared for Lufwanyama Town Council. The financial statements encompass the Council as specified under Cap 281 of the Laws of Zambia, Public Finance Management Act No.1 of 2018 and the Constitution of Zambia (Amendment), Act No. 2 of 2016. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorisation Date

The financial statements were authorized for issue on, by the ordinary/special Council.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act, 2016 authorizes Lufwanyama Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act, 1991 Cap 281 section 69(1) prescribes a system of local taxes by empowering Local Authorities to make by-laws imposing all or any of the following levies:

- A Levy on leviable persons owning or occupying property or premises situated within the area of the council.
- A levy on leviable persons carrying on a business, trade or occupation within the area of the council.
- A levy on the purchase or sale of a commodity within the area of the District. This includes levies on sale of livestock, grain and poles.

b. Fees or Charges

Section 70 (1) of the Local Government Act, 1991 as amended by Act 19 of 1992 empowers Local Authorities to impose fees or charges payable to the Council:

- For any licence or permit issued under any by-law or regulation made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits.
- For any service or facility provided or goods or documents supplied by the Council in pursuance of or in connection with the discharge of any function of the Council. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash at the Beginning and End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities.

Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses. Councils were guided to deduct monthly Councilors allowances before effecting 20% of the LGEF during the year under review.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is guided by Guidelines on the Management and Utilisation of Constituency Development Fund of 2016. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2018 Kwacha
Residential	3,883
Industrial/Commercial	16,996
Mining/Plant	1,222,085
Personal levy	53,183
TOTAL	<u>1,296,146</u>

The Council relied on the Valuation Roll updated for the period 2013 – 2018 to determine the property rates receivable.

3. Fees and Charges

The local authority generated cash receipts in form of fees and charges arising from offering various services as follows.

	2018 Kwacha
Fees and charges	1,115,047
Land Development Charges	2,581,861
Total	<u>3,696,908</u>

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2018 Kwacha
Consent fees	-
Survey fees	-
Building inspection-fees	-
Plan scrutiny fee	-
Change of premise use	-
Container/Ntemba fees	-
Rentals/lease of Council's properties	22,950
Application forms fees	229,800
Rentals from houses	76,000
Endorsement fees	-
Sketch plan	-
Search fees	-
Bus Station fees	-
Hire of halls	-
Hire of grounds/stadia	-
Hoarding fees (Barricading)	-
Refuse	1,470
Notice of marriage fees	-
Registration of clubs and societies	-
Vendor levies	-
Farm produce levy	420,025
Car dealer levy	-
Communication mast levy	90,000
Illegal Parking of vehicles	-
Billboards and banners	-
Lease of council transport	-
Illegal vending fees	-
Penalties	-
Other fees and charges	274,802
	<u>1,115,047</u>

b. Land Development Charges

The Council collected the following land development related charges

Charges Type	2018 Kwacha
Premium Plot- Residential	712,080
Premium Plot – Commercial	95,000
Other charges	1,774,781
TOTAL	<u>2,581,861</u>

NOTES TO THE FINANCIAL STATEMENTS

4. Licences

A total of K305,242 cash receipts was raised from issuance of various licences.

Licence Type	2018
	Kwacha
Manufacturers Licence	-
Retail Licence	-
Wholesale licence	-
Ocupancy licence	-
Commercial travellers licence	-
Hawkers licence	-
Peddlers licence	-
Stall licence	-
Liquor licence	2,542
Firearm and ammunition licence	-
Petroleum licence	-
Restaurant licence	-
Dog licence	-
Other Licences	302,700
	-
TOTAL	<u>305,242</u>

5. Levies

The Council generated cash receipts by charging levies as follows:

Type of Levy	2018
	Kwacha
Livestock levy	21,035
Birds levy	3,525
Fish levy	14,247
Pole levy	-
Charcoal levy	153,210
Sand levy	572
Grave reservation levy	-
Timber Levy	96,441
Other levies	6,188
TOTAL	<u>295,217</u>

6. Permits

The Council did not generate any cash receipts from issuing various permits.

NOTES TO THE FINANCIAL STATEMENTS

7. Local Government Equalisation Fund

a (i) Funding

Month	Date	2018 Kwacha
January	18/01/2018	707,233
February	21/02/2018	705,481
March	31/03/2018	707,233
April	27/04/2018	705,481
May	32/05/2018	707,233
June	21/06/2018	735,481
July	22/08/2018	707,233
August	26/09/2018	704,663
September	16/10/2018	704,663
October	08/11/2018	704,663
November	21/12/2018	705,457
December		-
TOTAL		<u>7,794,823</u>

b. Operational Expenditure

The Council applied amounts totaling K6,372,659 of LGEF receipts towards meeting operational expenses on Salaries and Wages and goods and services representing 81.8% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

7(b)(i) Salaries and Wages

Details	2018 Kwacha
Management -Council Chairperson	107,091
Salaries Div I	1,492,944
Salaries Div II	1,223,198
Salaries Div III	1,017,840
Wages - Div IV	<u>1,681,524</u>
Total	<u>5,522,597</u>

NOTES TO THE FINANCIAL STATEMENTS

7(b)(ii) Goods and Services

		2018
Code	Description	Kwacha
224060	Boards, Councils and Committees expenses	634,800
226008	Advertisement and Publicity	2,475
226015	Traditional Ceremonies	<u>1,420</u>
		<u>638,695</u>

7(b)(iii) Other Costs

		2018
Code	Description	Kwacha
411170	LASF	<u>211,367</u>
		<u>211,367</u>

c. Capital Expenditure

The Council applied amounts totalling K1,291,974 of LGEF receipts towards meeting capital expenditure representing 14.6% of the total LGEF funding for the reporting period. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

7(c)(i) Infrastructure Development

	2018
	Kwacha
Boreholes, pumps and other Water Reticulation Material	99,952
Cycle maintenance-Regravelling ,Resealing and General Debit	65,000
Market Facilities	32,026
Bridges and Culverts	78,506
Schools	179,926
Buildings	677,497
Hospitals, Clinics and Health Centres	<u>19,390</u>
	<u>1,152,297</u>

NOTES TO THE FINANCIAL STATEMENTS

7(c)(ii) Rehabilitation

		2018 Kwacha
222040	Building Maintenance (Maintenance, Consumables, Debit	85,877
	Total Rehabilitation payments	<u>85,877</u>

7 (c)(iii) Assets Acquisition

	2018 Kwacha
Marine Equipment	53,800
Total Asset Acquisition Payments	<u>53,800</u>

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analysed as follows:

(a) CDF Funding

	2018 Kwacha
Constituency	
Lufwanyama	1,600,000
Total Funding	<u>1,600,000</u>

(b) Other CDF Sources of Funding

There was no other CDF funding received in the period under review.

(c) CDF Infrastructure Development

	2018 Kwacha
Buildings	608,973
Total	<u>608,973</u>

Infrastructure development works included construction of Classroom blocks and other buildings at health centres.

(d) Rehabilitation Works

There were no rehabilitation works in the period under review.

(e) Asset Acquisition

There were no assets acquired in the period under review.

NOTES TO THE FINANCIAL STATEMENTS

(f) Administrative Costs

	2018
Constituency	Kwacha
Lufwanyama	
Other	51,064
Total Other Costs	<u>51,064</u>

The administrative costs included project supervision costs.

9. Other grants

During the year, the Council received the following grants:

Revenue Source	2018
	KWACHA
Grants from other sources	108,752
Grant in lieu of rates	200,000
Other grants	-
TOTAL	<u>308,752</u>

10. Borrowings

During the year the Council did not contract any loan.

11. Council Commercial Venture

The Council did not have any commercial venture in the period under review.

12. Other Receipts (This is included for balancing the statements only. It is not mandatory)

The Council received amounts totaling K21, 816 in its various bank accounts that could not be traced to the sources. Therefore, the amounts in question could not be recognized under any particular class of receipts in the financial statements except as 'other receipts'

	2018
Revenue Source	Kwacha
Interest on investments	6,816
Donations	15,000
	<u>21,816</u>

NOTES TO THE FINANCIAL STATEMENTS

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Municipal Council. The Council had categories of staff that were paid as follows:

Grade	2018
	Kwacha
Management - Council Chairperson	107,091
Salaries Div. I	1,533,555
Salaries Div II	1,258,018
Salaries Div III	1,070,840
Wages - Division IV	1,725,924
TOTAL	<u>5,695,428</u>

14. Use of Goods and Services

General expenditure consists of expenditure incurred on administrative activities

Expenditure Type	2018
	Kwacha
Office running costs	270,257
Building ,Repair & Maintenance	263,132
Plant,Machinery & Vehicle Running Costs	746,236
Other Administrative Operating Costs	970,650
Requisits	265,913
Services	2,648,710
Travel Expenses	493,388
Training	69,238
Medical Costs	24,871
Orher Costs	-
TOTAL	<u>5,752,395</u>

15. Financial Charges

The Council had no borrowings in the period under review, therefore there were no financial charges incurred in the period under review.

16. Social Benefits

Social benefits were not incurred during the year.

NOTES TO THE FINANCIAL STATEMENTS

17. Non-financial Asset Acquisition

Acquisition of assets involved the following payments:

	2018
	Kwacha
Schools	179,926
Buildings	1,287,513
Hospitals, Clinics and Health Centres	19,390
Marine Equipment	53,800
Computers, Peripherals, Equipment	36,193
Other Office Equipment	3,300
TOTAL	<u>1,580,122</u>

18. Financial Asset

The Council did not acquire financial assets in the period under review.

19. Loan Repayments

There were no loan repayments because Council had no loan obligation

20. Other Payments

These relate to sundry items such as Staff creditors and Statutory contributions.

	2018
Details	Kwacha
ZULAWU	0
ZCTU	0
Others	0
Suppliers of goods and services	0
Zambia Revenue Authority	0
National Pension Scheme Authority	0
Local Authorities Superannuation Fund	211,367
Other Deductions	0
Terminal Benefits	60,280
Long Service Bonus	0
Leave Travel Benefits	3,849
	<u>275,496</u>

21. Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances

NOTES TO THE FINANCIAL STATEMENTS

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents:

a. At the beginning of the year

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents as at 1st January, 2018:

	2018 Kwacha
Cash on hand	-
Demand Deposits	1,182,172
Cash equivalents	-
TOTAL	<u>1,182,172</u>

i. Cash on hand

There was no cash on hand.

ii. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances:

Account	Bank	Balance at 1/01/18 Kwacha
District Fund Account	Zanaco -011093200158	99,000
Capital Account	Invetrust-0110288211010	153,704
Rural Water Account	Zanaco-1548892300155	11,136
Project Account	Zanaco-1325062300181	151,992
Service Charge Account	Natsave-3170124339501	526
Fire Services Account	Natsave -3171742525402	0
Loan Revolving Fund Account	Natsave -3171744225401	0
Community Contribution Account	Natsave - 3170124076101	20,153
SOMAP Shop Account	Natsave - 3170124076001	12,014
Ward Development Fund Account	Natsave - 3171257386901	0
CDF Account	Zanaco-0265728300111	733,647
		<u>1,182,172</u>

NOTES TO THE FINANCIAL STATEMENTS

b. At the end of the year

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents as at 31st December, 2018:

	2018 Kwacha
Cash on hand	3,370
Demand Deposits	3,194,265
Cash equivalents	-
TOTAL	<u>3,197,635</u>

i. Cash on hand

The Council's cash on demand was made of cash collections and petty cash:

	2018 Kwacha
Cash collections undeposited	3,370
Petty Cash	-
TOTAL	<u>3,370</u>

ii. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2018:

Account	Bank	Balance at 31/12/18 Kwacha
District Fund Account	Zanaco -011093200158	458,353
Capital Account	Invetrust-0110288211010	283,894
Rural Water Account	Zanaco-1548892300155	4,729
Project Account	Zanaco-1325062300181	123,454
Service Charge Account	Natsave-3170124339501	7,078
Fire Services Account	Natsave -3171742525402	616,386
Loan Revolving Fund Account	Natsave -3171744225401	15,722
Community Contribution Account	Natsave - 3170124076101	1,528
SOMAP Shop Account	Natsave - 3170124076001	9,511
Ward Development Fund Account	Natsave - 3171257386901	0
CDF Account	Zanaco-0265728300111	1,673,610
		<u>3,194,265</u>

NOTES TO THE FINANCIAL STATEMENTS

23. Budget Adjustments and Variances

Appendix A explains the variances

a. Budget Adjustments

There were no budget variations in the period under review.

b. Budget Variances

RECEIPTS

(i) Receipts –Local taxes failure to collect K918,556 represented as variance of 41%

Some Mining Companies captured in the 2016 Main Valuation Roll did not have title deeds and hence refused to pay on that account. However, the Government has since enacted a new Rating Act No. 21 of 2018 which does not require title deeds for leaseholders to pay provided have received offer letters from Ministry of lands, Council or any person in authority over land.

(ii) Receipts-Fees and Charges failure to collect K10,540,430 represented as variance of 74%

During the year under review, Council had planned to offload farms to the general public in the first quarter. The offloading was done in December 2018 thereby contributing to the poor collections

(iii) Receipts- Licenses over collection by K260,532 represented as variance of 583%.

In 2017 Lufwanyama Town Council was declared a Fire Authority and the Local Government Service Commission transferred fire officers to the Council in 2018. The Commission also transferred Health Inspector and the two sections starting issuing licenses to timber traders which lead to over collections.

(iv) Receipts –Levies over collection by K118,688 represented as variance of 67%

Lufwanyama District is one of the major suppliers of charcoal on the Copperbelt. The Council introduced three barriers during the year and contributed the over collection

(v) Receipts – Permits failure to collect K250 represented as a variance of 100%.

The Council had planned to implement charging burial sites and collect burial permits. The plan could not be implemented as most people use traditional burial sites.

NOTES TO THE FINANCIAL STATEMENTS

(vi) Receipts –Other grants –over collection by K308,752

The Ministry of Local Government guided during the budget preparation that nothing should be allocated toward grant in lieu of rates and that only confirmed donations should be include. During the year, the Ministry released K200,000 in respect of grant in lieu of rates while UNICEF released K108,752

(vii) Receipts- Other receipts over collection by K21,816

During the year under review, the Council received K15,000 from Grizzly for Independence Celebrations while K6,816 was accumulated interest on Council funds.

PAYMENTS

(i) Use of goods and services:

The Council achieved 43% leaving a variance of 57% because the Council collected 58% of the total budget in terms of revenue. It affected spending as well.

(ii) Non –Financial assets achieved 29% leaving a variance of 71% because the Constituency Development Fund amounting to K1,600,000 under this category was received late and was not utilized by the 31st December 2018 because of approval procedures by Ministry of Local Government. Most procurement like Motor vehicle was delayed because of procurement procedures. This attributed to lower percentage achievement and closing balances can attest to this testimony.

(iii) Other payments achieved 36% leaving a variance of 64%

This was because of failure to meet target in terms of revenue. Most customers paid in December 2018 and implementation carried out in 2019 as evidenced by huge closing balance.

APPENDICES

This section is optional but encouraged to be done in order to track the changes. The following supplementary information does not form part of the Annual Financial Statements and is unaudited:

APPENDIX A – List of Payables

APPENDIX B – List of Receivables

APPENDIX C – List of Assets Acquired in the Year